TIP860: Canadian Pacific Kansas City Limited (CP.TO): Irreplaceable Moat, Unproven Compounding w/ Kyle Grieve & Shawn O'Malley

Podcast: we study billionaires

AI Executive Summary

This episode of the Investors Podcast delves into the intricacies of Canadian Pacific, Kansas City (CPK), a major railroad company in North America. The discussion covers several key aspects of the business, including its financial performance, strategic acquisitions, management, and potential risks.

Key Points:

1. **Acquisition and Synergies:**
2. **Canadian Pacific's Acquisition of Kansas City Southern:** The acquisition significantly increased CPK's capital base, leading to a spike in equity debt and working capital. However, the returns on invested capital (ROIC) have not yet recovered, indicating that the integration process is still ongoing.

3. **Synergies:** While there have been some positive signs, such as improved operating margins and continued profit growth, the ROIC has not yet shown significant improvement. This suggests that the full benefits of the acquisition are still being realized.

4. **Management and Incentives:**

5. **Keith Creel's Leadership:** Creel has been the CEO since 2017 and has played a crucial role in integrating the Kansas City Southern deal. However, the return on invested capital has not been as impressive as expected.

6. **Incentive Structure:** The compensation framework has shifted from ROIC to free cash flow, which is a more absolute measure. This change is seen as a yellow flag, as it does not fully capture the capital efficiency of the business.

7. **Financial Health:**

8. **Debt Levels:** CPK carries about $25 billion in debt, with a debt to EBITDA ratio of 3.2 times. While this is in line with industry peers, the leverage is a concern, especially given the potential for rising interest rates.

9. **Dividends and Buybacks:** The company has been active in share repurchases, but many of these were funded with debt. This raises questions about the optimal use of capital.

10. **Growth Opportunities:**

11. **Volume Growth:** Since the merger, CPK's volumes have increased by 22%, excluding coal. This growth is driven by converting truck freight to rail and the automotive and energy sectors.

12. **Trade Risks:** The US-Mexico-Canada Agreement (USMCA) is under review, which could impact the company's trade volumes. Additionally, the risk of another major merger in the industry, such as the proposed Union Pacific-Norfolk Southern merger, could pose a threat.

13. **Valuation:**

14. **Intrinsic Value:** The base case valuation suggests a return of about 7%, including dividends. The bull and bear cases indicate a value of around $165 and $111, respectively. Given the current share price of about $122, the intrinsic value is close to the current price, making it a pass for now.

Conclusion:

The episode concludes with a cautious outlook on CPK, highlighting the business's strengths but also the challenges it faces. The key takeaway is that while CPK is a great business with strong moats, the current valuation does not offer enough upside to justify a significant investment. The hosts recommend waiting for a more attractive entry point or considering other investments with higher growth potential.

Final Thoughts:

- **Moat and Stability:** The railroad industry offers stable, long-term growth driven by essential goods transportation.
- **Risk Management:** The hosts emphasize the importance of diversifying the portfolio and considering other investments with higher growth potential.
- **Intrinsic Value:** The valuation analysis suggests that CPK is already fairly priced, making it a pass for now.

Overall, the episode provides a comprehensive analysis of CPK, offering valuable insights for investors considering this stock.

Diarized Transcript

SPEAKER_02: You're listening to TIP. Today, we're covering one of the oldest businesses that we've ever looked at on the show. It's even older than Coca-Cola. And in the last 15 years, it's actually reinvented itself two times. So the first set of shareholders fared quite well, but the jury is definitely still out on that second set. And that business is Canadian Pacific Kansas City Railroad. When you told me that we were doing a railroad business today, I braced myself for some train ponds and... a business that is maybe not the sexiest in the world, one that grows about as fast as the economy. And just generally, railroads have not been the type of place that we've looked for portfolio ideas. Yeah, and I think that was my first assumption as well. And I think for most railroads, it's probably the right assumption. But in terms of Canadian Pacific, Kansas City, they kind of went from being one of the least efficient railroads in North America to one of the best. and the stock compounded very healthily while that happened. Then management weighed one of the biggest and boldest bets in the entire company's history. Now, as a result of this bet, their network grew very significantly and on paper, their moat widened, but the returns for shareholders haven't been nearly as impressive as I would have thought. And that leaves us with a pretty tricky question to answer. Either that bet is a slow burn that's ready to pay off or the price is...

SPEAKER_00: permanently lowered the company's capital efficiency. And those two answers lead to some wide-ranging outcomes for how somebody might think about investing in today's business. Let's find out which one it is. Since 2014, with more than 200 million downloads, we have interviewed the world's best investors, studied deeply the principles of value investing, and uncovered many compelling investment opportunities. We focus on understanding businesses and intrinsic value. investing accordingly, and sharing everything we learn with you. This show is not investment advice. It's intended for informational and entertainment purposes only. All opinions expressed by hosts and guests are solely their own, and they may have investments in the securities discussed. Now for your hosts, Sean O'Malley and Kyle Grieve. Welcome to the Investors Podcast episode 861. Our co-host Daniel recently pitched GE Aerospace to you, Sean.

SPEAKER_02: And while I also liked that business, I also agreed with the decision to not add it to the intrinsic value portfolio. But I also know one of the reasons for that idea being presented in the first place was to clone a very, very impressive portfolio manager, Chris Hone, who I highly respect. Now, another of his ideas that I found interesting, but haven't really covered on the show, were in railroads. And as far as I can tell, his fund owns both Canadian railroads. But today we're going to focus on just one of them that has a very sizable footprint, not just in Canada, but also in the US and even Mexico. And that business is Canadian Pacific, Kansas City. Now, railroads have interested me since I was a kid. And obviously my son, who's now four years old, is absolutely obsessed with them as well. But until I started to invest my own money, I don't think I ever really gave the business case for railroads any thought. And maybe that was a mistake because even though railroads are these big, boring businesses, they're also one of the most moaty business models that you can find out there. In North America, there are only six class one railroads. Now, Just to understand what a class one railroad is, they must have operating revenues exceeding 1 billion. Now, many of our listeners will be familiar with one of them as we own it inside of the intrinsic value portfolio through our ownership of Brookshire Hathaway and that's Burlington Northern Santa Fe Railway. I know that I certainly enjoyed playing with my railroad set probably just as much when I was a kid, but similar to you from an investment perspective, I haven't really given railroads much of a second thought as an adult. And to be fair,

SPEAKER_01: We did sort of cover BNSF on our Berkshire Hathaway pitch, since it is a pretty meaningful revenue contributor for that company. But I didn't walk away from the business being particularly impressed though. And if you look back at how this business has performed since Berkshire purchased it, it's really not all that inspiring. It has grown, but revenue and pre-tax income have basically compounded at less than 3%. So while it is a decent business for Berkshire to own, and it generates a ton of cash and allows them to deploy a lot of capital and will continue to do so for decades to come. It's definitely not a business with growth rates that would really make you look twice at. It's a boring business in an old industry, but an industry that has been nearly impossible to disrupt for really the better part of almost two centuries.

SPEAKER_02: Yeah, and funny enough, part of the reason that I'm actually interested in Canadian Pacific, Kansas City was another bout of nostalgia. So I live in an area of Vancouver where I'm just literally half a block away from what's called the Arbutus Greenway. Now today, it's a beautifully paved path where people like to walk their dogs, push their strollers, or maybe ride a bike or an electric scooter to work or school. So I personally still walk on that pathway pretty much on a weekly basis. But up until 2001, that greenway didn't exist as it does today. So before that period, it was the Canadian Pacific railway line. And the story of how the city got this greenway in the first place is actually kind of a cool story on its own. So after the train stopped running, the line just sat there empty for many years. Neighbors ended up planting community gardens all over the tracks. So in 2014, Canadian Pacific decided that they wanted to get paid for that land. So it sent crews to clear out those gardens to show that it still had the right to run trains there, even though it didn't. Now, after a few more years of very public back and forth between CP and the city of Vancouver, the city of Vancouver ended up buying the corridor for about 55 million. So even on a line that they weren't even using in the middle of the city that just wasn't happy with it, Canadian Pacific held its ground and still ended up making a little bit of money on that asset. I think that's kind of the power of owning land that nobody else can touch.

SPEAKER_01: The conversation today makes me nostalgic for my college days because the small town I went to college in had a railroad going through the middle of it. I can definitely see why people don't want to live near them. My dorm was actually right next to the tracks and the train's horn would go every night at midnight and then again at 6 a.m., so it was just completely brutal. I didn't have trouble waking up from my 8 a.m. though, so I guess that was a perk of it. But yeah, I also do appreciate a good train trip too. A lot of the times when we go to New York City for our mastermind community events, I actually take an Amtrak there. It's slower, but it's nice in its own way, right? I can just work the whole time. The seats are more spacious and on a plane and then you get dropped off right in the middle of Manhattan rather than having to worry about Ubering from LaGuardia, which can be just an absolute nightmare. Oh, I love that. And I know exactly what Ubering from LaGuardia means. So I'm definitely a little bit jealous of how you can get there.

SPEAKER_02: So the closest that I ever get to a train trip these days is just pushing my son's wooden train around the living room while he tells me that I'm doing it wrong. Apparently I don't respect the schedule well enough. So this is something that we'll find out later is a very, very serious no, no, specifically in the railroad business. But I want it to come back to your BNSF point because I think it's one of the strongest arguments against owning railroads as an investment. Because if I look at the numbers for BNSF, my mind goes to thinking great mo lousy growth. And if you'd asked me what I thought about the Canadian railroads before researching for this episode, I probably would have leaned towards putting it in the exact same bucket. But Canadian Pacific, Kansas City before COVID was putting up some exceptional numbers. So the real head-turner was the growth in shareholder returns from about 2012 until 2020. 26% growth in EPS while the share price grew about 20% plus a 1% dividend. Really, really good stuff. The numbers then looked really good, but if you take a look at the numbers over the last five years or so, they're a lot more

SPEAKER_01: BNSF-like thing you'd want to see. Earnings per share has slowed considerably into mid-single-digit growth while the share price has compounded at just 5.5% correspondingly. And while I would say Canadian Pacific, Kansas City and BNSF both have significant moats, neither of them have really seemed to look like screaming buys. Yeah, I think if you look at those numbers without context, I completely agree. They aren't that pretty, frankly. But Canadian Pacific���

SPEAKER_02: Kansas City has been part of a very large restructuring. So it only bought Kansas City Southern back in 2023. And it was a very large acquisition at about 31 billion. Now, because of the large acquisition, there have been some very, very large, I guess you could say integration pains. And I don't really think that they're over yet, which is why the growth hasn't looked very good. But the pure scale of the combined business is really quite hard to compete with. It's the first and only railroad to run through three different countries in North America. So strategically, it's really a masterpiece. No other railroad currently can replicate the network that they have. But the deal also added a large amount of debt, new shares, as well as goodwill onto the balance sheet. And the diluted share count increased by 37% just to fund the deal. So while the business is much bigger, the per

share results have definitely been a lot less exciting than the decade that came before it. That is some pretty painful dilution. And I can see how that has affected its per share earnings. And these are important things to account for because if you expect the business to pick up again toward historical rates and it might all make sense, but really if not, then this business just becomes a whole lot less interesting. Yeah, totally. And I just want to give everyone a sense of Canadian Pacific, Kansas city scale here. So it's very, very massive. So in 2025, they did over 15 billion in revenue. They have roughly 20,000 miles of track and that's enough track to get from Toronto to Mexico city and back 10 different times. So that's a lot of Toronto Blue Jay games and tacos to go through.

SPEAKER_01: I definitely think that's one way to get the picture of it. And we have a great business that is maybe starting to lag a bit here is how I would think about it. And the picture is like it always is not entirely clear. So hopefully we can get a little bit of clarity for the listeners today and start with the very beginning because I don't think many of our listeners, especially the US based ones will know the story of just how important this railroad is to Canada.

SPEAKER_02: Yeah, and this is one of my favorite parts of the story simply because Canadian Pacific isn't just a railroad. It's really a big reason that Canada exists in the shape that it is today. So we have to go all the way back to 1871 when my home province, British Columbia, agreed to join Canada. But in order to do so, it had one very, very large condition. The federal government had to build a railroad that connected BC to the rest of the country. And without that railroad, BC was basically a giant island surrounded by thousands of kilometers of prairie and Rocky mountains. So in 1881, the Canadian Pacific Railway was formed to build that railway out. Now the deadline was a long way out at about 10 years or so later, but they actually ended up finishing it in only half the time that was allotted to them. And the last spike was driven in 1885. So when I say BC joined Canada because of the railroad, I'm really not exaggerating. And as a proud born and raised British Columbian, I think it's only fair that I get a small discount on shares. I'll take that up with the investor relations team.

SPEAKER_01: Oh, yeah, let me know how that goes. Hey, I'd like to request a British Columbian discount. Not sure it's going to work out for you, but it is worth mentioning that the whole railroad in Canada, it does have a good bit of negativity associated with it. And from my understanding, much of the construction was carried out by Chinese laborers, many of whom lost their lives building it. And I don't think that's really all that different from the story with how railroads in the US were built either.

SPEAKER_02: Yeah, I think you're completely correct. And, you know, obviously building these railroads wasn't all sunshine and roses. And to make matters worse, I attached a photo that Sean can see right now on YouTube of them putting in the final nail and they apparently got all the Chinese laborers who built that entire railroad network out just to leave the frame, despite the fact that they did most of that work and building it. So, but I don't want to get too down here thinking about railroads. So from this point on, Canadian Pacific grew into a full blown conglomerate, which is kind of a weird thing to say. It owned things like hotels, ocean ships. It had an airliner called CP Air and even had a hand in energy and mining businesses. It was almost like a Berkshire Hathaway of Canada. But in 2001, it ended up splitting into five separate public companies and the railroad was kind of left as a standalone entity. Now for about a decade after that split, Canadian Pacific was honestly pretty mediocre. So one of the KPIs used in the railroad industry is called the operating ratio. It's the percentage of revenue spent on operating expenses. You could basically think of it as the inverse of operating margins. So if your operating expenses are 60%, then that means that your operating margin would be 40%. During this time, CP had one of the lowest operating ratios in the entire industry. And this helped set the stage for one of the most famous activist campaigns in all of Canada's history. Well, this is where an investor comes in, Bill Ackman, that I think we've talked about a bunch of times on the show in the past. That's exactly it. In 2011, Bill Ackman sensed that there was some blood in the water for Canadian Pacific, and he liked the business, but he definitely understood that it needed a push in the right direction. So he built a stake in the business and he decided that he would be the one to push it. The thesis was pretty simple. Canadian Pacific had a great network already, but it was just being run very, very poorly. And as

the operating ratio suggests, he was right on that part. So at this time, Canadian Pacific had an operating ratio of 80%, which is just plain bad. So once Ackman had built up a decent chunk of shares, He launched a proxy fight, which he ended up winning in 2012. After winning it, he brought in this legendary railroader named Hunter Harrison in as the next CEO. Now, Harrison had started working on railroads just as a teenager, and he worked his way all the way up to the CEO of Canadian national, which is Canadian Pacific's primary Canadian competitor. Now, Hunter Harrison was best known for this thing called precision scheduled railroading.

SPEAKER_01: And so that precision scheduled railroading was a very interesting and contrarian method for railroading. Basically, the traditional method was called a hold for tonnage system. And it basically meant that trains would depart a rail yard only after they were filled to maximum capacity. And under precision scheduled railroading, Harrison completely flipped that model. And so trains were to run on these strict fixed schedules moving from one point to another and instead of catering to the individual shippers demand, the railroad would dictate the schedule and customers were basically forced to conform. And so he turned the rail shipping industry into something more like an airline, right? Where you run fewer longer trains and you cut out the idle locomotives and rail cars and you reduce the amount of time spent sitting in rail yards. And his system worked like crazy. Canadian Pacific's operating margins went from the mid teens all the way up to over 40%. And the stock price compounded at over 17% a year during that same period. And Harrison stepped away in 2017 to take over CSX, one of America's largest railroads. So he did leave the picture. That's right. And just to get back to that part on Bill Ackman, it ended up being a very, very successful investment, as you could probably tell from the returns that Sean just said.

SPEAKER_02: So he reportedly made about 2.6 billion in profits over the course of about five years. So, you know, he really nailed this bet. But yeah, I think Hunter Harrison's moves were very, very transformative for CP at this time. For basically any business to go through a rapid margin expansion like that is very, very impressive. Usually you'd expect to see this in a scaling business, not, you know, a boring railroad. So after Harrison left, his

right hand man, Keith Creel ended up taking over and Creel remains the CEO today.

SPEAKER_01: And here's a fun fact, Creel also worked under Harrison at Canadian National before coming over to CP. So you've got two former Canadian national executives who came over and made Canadian Pacific even better than Canadian National Railroad. So lots of railroad acronyms to sift through today, but it does remind me a bit of what happened with Reddit, even though the business models couldn't be further from each other. And the difference with Reddit is that it went from having these deeply negative operating margins a few years ago. I'm talking worse than negative 25% margins all the way up to almost positive 30% margins more recently. And so really that can make sense for a tech-based business, but it's even more impressive that Canadian Pacific was able to do this just by changing the frequency of their departure. So if we think about that and we get back to the present day, one question I have is, what does Canadian Pacific, Kansas City

SPEAKER_02: actually look like today in terms of its structure and then how much money does it make? Right. So I think at its core, the business model is really very simple. So Canadian Pacific, Kansas City owns this vast network of track and customers basically have to pay it to move their freight from one point to another. I mean, that's really it. So they charge based on how much freight they're hauling, how far it's going, and then what kind of freight it is. So the network, like I mentioned, now runs 20,000 road miles. It's just incredibly, incredibly vast. So it goes from the port of Vancouver East across the prairies to Montreal and St. John on the Atlantic coast. Then it goes South through the U S Midwest down to Kansas city. And then all the way through Texas across the U S Mexico border at Laredo. And then inside Mexico goes to the industrial heart of the country before splitting off to both the Pacific and the Gulf coasts. Now by revenue, they have very good diversification. 48% of it comes from Canada, 24 from the U S and about 18% from Mexico. So the next question is what are they moving? It can kind of be broken down into three major buckets. The first is bulk, which makes up about 40% of freight revenue. This includes items such as grain, coal, potash, and fertilizers. Then you have merchandise, which is another 40%. This makes up things like energy and chemicals,

forest products, metals, minerals, and automotive. And then lastly, you have intermodal, which accounts for about 20%. That's, you know, the shipping containers that you see stacked maybe too high on trains, which are typically full of consumer goods.

SPEAKER_01: So it's a more balanced mix than a lot of the companies that we've actually looked at lately, Reddit being one that comes to mind where you basically have one revenue line for advertising. And even with a company like GE Aerospace that we looked at recently, it rises and falls tremendously just based solely on commercial engine demand. Whereas with Canadian, Pacific, Kansas City, it's spread across three countries and then three different freight buckets. A weak year in one commodity or one economy does get cushioned by the others, which goes a long way toward explaining how this industry has survived two centuries of business cycles and how it's been able to have a pretty steady growth up and to the right, at least in recent decades. And I believe grain is a pretty big piece of the business that they do today. I would imagine with all the prairies they go through, it has to be one of their biggest customers, which is sort of weird to think about because As an end customer, you really don't think a lot about how many different food items that grain goes into, but everything from bread, to breakfast cereals, to crackers, goldfish, pasta, noodles, and beer, and a whole lot more, really our modern lifestyles run hugely on grain. Yeah, it makes a lot of sense when you think more about it, but it's also something that I haven't given too much thought to in the past.

SPEAKER_02: So usually when I think of grains, I think of bread and that's about it, but you are correct. Grain is their single largest business line making up well over 20% of its freight revenue. Now, railroads measure their volume in something called revenue ton miles or RTMs, which is literally just one ton of freight moved just one mile. So in Q2 of 2026, revenue ton miles were up about 4% and total revenue was up 13% to about 4.2 billion. So this business is moving a lot of freight. So volumes were up 4%. but then they actually had revenue rise 13%. So that's a pretty big gap. Is that down to just pricing power or is there some sort of operating leverage there or what am I missing? Yeah, good catch there, Sean. And while it would be wonderful to say that it's all pricing power, that would unfortunately be incorrect. So I think a lot of that gap comes from things

like fuel surcharges. So when fuel prices go up, which I'm sure everyone is very well aware of is happening right now, railroads tend to pass that cost on to their customers through something called a surcharge. So in Q2, the fuel surcharge revenue increased by a mind-boggling 74% adding roughly 258 million to revenue. Now, that's a lot of money that isn't operational in any way. So while it's great that Canadian Pacific, Kansas City can charge this to its customers rather than have to absorb it itself, it's also a revenue generator that is entirely cyclical and out of their hands. So yes, it acts as a lever to help protect its margins, but it's crucial not to confuse this for organic growth.

SPEAKER_01: So if you strip out the fuel and the record grain harvest, underlying revenue growth comes in the mid single digits, which is kind of closer to that revenue ton mile, not figure that I just discussed. Yeah. If we were going to maybe use an analogy here, it would be sort of like a breakfast restaurant bragging about having higher sales when all they really did was just raise prices directly correlating to the rise in their input costs. So cost of their eggs went up and then they pass those costs directly on to the consumers.

SPEAKER_02: You aren't actually selling more omelets and egg benedicts or making new margins. You're just charging more for the same food that also costs you more and there's not really a net benefit to it. Precisely. And if you're looking at Canadian Pacific, Kansas City, you have to separate those two. So obviously business reports the headline numbers, which is the larger number. So it's always going to include that fuel surcharge. So just make sure to take that into account before getting overly excited about headline numbers. But there's another part of this business model that is very underappreciated. So Why bother using trains when we have, you know, giant trucks that can do essentially the exact same thing, but aren't constrained by going on two tracks? So the answer is that rail is roughly three to four times more fuel efficient per ton mile than trucking. Additionally, one train can take hundreds of trucks off of the road. So for things like long hauls of very heavy stuff, like maybe potash going from Saskatchewan to the port of Vancouver, rail wins basically every single time. So back in... College for me, I would look at these trains and it would feel like they would take maybe five full minutes to pass. So I'm guessing

that they're quite long. Yeah. Well, the average Canadian Pacific, Kansas City train is about 9,000 to 300 feet long. So that's about a mile and three quarters. So if you're stuck behind one, I'd recommend bringing a snack or two and probably finding a good podcast, maybe ours to listen to. Let's take a quick break and hear from today's sponsors.

SPEAKER_01: Early in my career, I was chipping away at student loans and it felt like it would never end. I'd make a payment, check the balance, and it barely moved. What finally changed my mindset was seeing a real finish line, a date I could actually circle on the calendar. That's what Monarch's Debt Paydown Simulator gives you. It uses your real balances and payments to show your exact debt-free date. Then you can run different scenarios side by side, like adding an extra 100 a month. and instantly see how much sooner you'd be done. Watching that timeline shrink is really motivating and you're the one in control of the plan. Plus, a quick check-in on your phone or laptop tells you exactly where your money stands. It's so important to manage your finances and I believe Monarch can help you in doing so. Write your own money story with Monarch. Use code WSB at Monarch.com to get your first year of Monarch Core half off at just 50. That's 50% off your first year at Monarch.com with code WSB. Interested in futures trading and looking for a place to get started? With Plus 500 Futures, you can explore some of the world's most active markets, all from one easy-to-use platform. Trade futures on popular assets like the S&P 500, NASDAQ, oil, gold, Bitcoin, Forex, and more. Whether markets are moving in crypto, commodities, or indices, there's always something to follow. Plus 500 Futures is designed to make trading straightforward with a platform you can access wherever you are, right from your phone. And you can get started with a minimum deposit of just 10. Not ready to trade with real funds? Try the free unlimited demo account first and explore the platform without putting real money at risk. Backed by nearly 20 years of experience and trust by millions of customers worldwide, Plus 500 gives you the tools to stay connected to the futures markets. Visit us.plus500.com to learn more. Trading in futures involves risk of loss and is not suitable for everyone. Not all applicants will qualify. Plus 500, it's trading with a plus. You don't need me to tell you that rent and mortgages are only getting more expensive. That's why Bilt created three credit cards designed to offer the richest rewards on rent, mortgage, and everything else you spend on.

Whether you rent or own, you can earn up to 1.25x points on every housing payment without the transaction fee, no matter where you live. Points can be redeemed for flights, hotels, lift rides, a future housing payment, and much more. Turn one of the most unavoidable payments in your life into the most rewarding. Find the car that's right for you and apply at joinbuilt.com slash T-I-P. That's J-O-I-N B-I-L-T dot com slash T-I-P. Use our link so they know we sent you. Terms apply subject to approval and eligibility. Bill cards are issued by column NA, member FDIC, pursuant to license from MasterCard International Incorporated. All right, back to the show. Well, so it's definitely a feeling I know pretty well. And when we look at the core business in a nutshell, you own the track. and you can run these long efficient trains on a strict schedule and you charge customers for transporting that stuff, right? That's probably the simplest way that you could think about it. And of course, the profitability of the business increases significantly the greater traffic density or frequency of train movements you can have. But how about we transition here to a part of the business that has really actually thrown a wrench into Canadian Pacific, Kansas cities?

SPEAKER_02: numbers, which was their acquisition of Kansas City Southern. Yeah. So I think this is where the story gets really interesting. So back in March of 2021, Canadian Pacific announced that it was buying Kansas City Southern, a US railroad that owned a railroad in the US as well as Northeastern Mexico. So Kansas City Southern was the smallest of the big US railroads, but it also had access to something that no other railroad had, which was this direct line into Mexico's industrial hub. Plus it had ownership of the international rail bridge. at Laredo, Texas, which we briefly discussed here earlier. So just for context, Laredo is the busiest trade crossing route between the U S and Mexico. Then about a month later, Canadian national railroad came in over the top with a much bigger offer for Kansas city Southern. So, you know, you had the two largest Canadian railroads locked in a bidding war over this one business, Kansas city Southern. So Kansas city Southern initially accepted the larger offer from Canadian national. Of course, why wouldn't you? But Canadian national needed something called a voting trust to be approved by us regulators.

SPEAKER_01: And so that regulator is called the Surface Transportation Board. But the board actually ended up rejecting it, which frankly was quite lucky for Canadian Pacific. So they came back with a bid worth about 31 billion, including debt, and they ended up winning that bid. And it was a strange victory. Even after Canadian Pacific won the bidding war, the regulatory process took another year and a half. And during that time, Kansas City Southern was held in a voting trust. And so it wasn't until 2023 that Canadian Pacific added Kansas City to its name. and got the mouthful that we have the pleasure of saying today. And the question I had going in was why and how did this merger even make sense? But when you look at the network map that is formed together after the merger, I think it makes it pretty obvious. And so before the deal, if you wanted to move goods from Mexico to Canada by rail, it needed two or three different railroads with handoffs at each border. And so the problem with handoffs is they add delays and costs and more risk of something going wrong with the shipment. And now for Canadian Pacific, Kansas City, they can do it on a single line from Mexico through the US and into Canada. And so that means the business relies on one railroad, one bill, and really one point of accountability to bring everything together. Yeah. It's a really big selling point, which as you can see is why they did this acquisition.

SPEAKER_02: It's kind of like one airplane taking you all the way to your destination instead of just taking multiple flights. So earlier this year, I got a chance to take a direct flight to London and I much prefer that overtaking many, many different flights where I have to continue switching to new airplanes. Switching also risks things like delays to my flight or having my luggage arrive in a completely different country. But let's dig into one area of railroads in general that got me really interested. So Part of why I wanted to learn about railroads was from reading a great article on Chris Hone's attraction to these things called irreplaceable physical assets. And you can think of these as basically assets that can't be replaced due to factors such as land rights, permitting, or even simply the billions of dollars in capital that would be required to even attempt to compete with existing infrastructure. And that's the part of Chris Hone's approach that I find really compelling. He isn't out there looking for cheap AI bets or disruptive technology. I mean, he basically took

SPEAKER_01: the opposite approach, asking himself what would be nearly impossible to rebuild today at any price. And I think a railroad is clearly a good example of this exact situation, which is why he owns both Canadian Pacific, Kansas City, and Canadian National in his fund. But I want to give you a little pushback on this advantage that Canadian Pacific, Kansas City has as kind of a tollbooth business. And so the fact that pretty much nobody can go out and build a new railroad doesn't mean that Canadian Pacific, Kansas City can go out there and just charge whatever price they want to. It doesn't give them unlimited pricing power. And for instance, we look at BNSF under the Berkshire Hathaway umbrella, they have the same functionally irreplaceable asset in these rail lines. And as we discussed earlier, that really hasn't translated into any growth worth mentioning. So from your perspective, where do you think the real advantages come from for Canadian Pacific, Kansas City?

SPEAKER_02: Yeah, I think that's a great point. You really nailed it. So while railroads are great assets because of their kind of lasting power, they aren't always the best investments. So if you told me about a potential investment that was going to grow at just 3% per year, I wouldn't even bother spending 10 seconds on it because it's just so far below my hurdle rate that spending time on it would be a complete waste. But I think in Canadian Pacific, Kansas City's case, they have quite a few other strengths. So let me go over that first and we can discuss some of the weaknesses. So in my view, their biggest competitive advantage is the railroads as a scarce resource. So Nobody has really gone out and built a new major railroad in America in the last century or so. And if you want to even try to compete with Canadian Pacific Kansas City's network, just imagine how big of a headache that would be. You'd first need to buy contiguous strips of land in three different countries, all of which are currently at odds with each other to some degree. And getting that done just seems completely next to impossible. But if you did that, you'd also need tens of billions of dollars before you even started generating a cent of revenue. So Canadian Pacific, Kansas City carries over 57 billion in property value on their balance sheet, as well as about 22 billion in goodwill and intangible assets. And that 57 billion is a very interesting number. So if you think that's what it would cost to replace or replicate what they have built, you'd actually be underestimating the real number by quite a long shot. So the legacy

Canadian Pacific business values its railroads at about 2 million per mile. the actual price today should probably go in a range more like between 8 and 20 million per mile. So when you add the other components like rail yards, terminals, major structures like tunnels and bridges, right-of-way land, as well as the rail cars themselves, well then the estimated replacement cost is probably somewhere between 250 billion to 500 billion dollars. It's just one of those modes where you don't need to sit down in a spreadsheet to grasp

SPEAKER_01: why it's so hard for a competitor. I mean, if you were to start a railroad business tomorrow, you wouldn't stand a chance. And so I can only imagine how difficult it would be to get a permit to run a new train line anywhere close to where I want to live. And that's not even taking into consideration the capital costs too. Exactly. And that's the exact same thing that I would have where I live as well in Vancouver, just to get a permit to build a duplex, you know, home takes forever. A new railroad though. I mean, I'd have a better chance of watching the Canucks win three straight Stanley cups in a row. Well, to make the advantage even more powerful, in Canada, the railroads are a duopoly between Canadian Pacific, Kansas City, and Canadian National. And in the US, it's one of these six class one railroads you mentioned at the top of the show. And then when you consider Mexico, it's yet another duopoly there with Feromex, which Union Pacific owns about a quarter of. So in each geography that they operate in, they are either a duopoly or a very tight oligopoly. And that structure is a big part of why we have gravitated toward these businesses. When there are only a handful of rational players in the market, nobody has much of an incentive to start a price war. And so pricing tends to drift upward over time and returns on capital tend to improve accordingly. And so Uber is a really great example of what happens once you have that discipline set in and when the market sort of lands on an oligopoly, right? Basically, after it and Lyft settled on approximately what their market share was going to be in North America, for example, they both have stopped subsidizing rides, at least to the same extent that they did in the past. And for them, take rates have continued to climb and prices for customers have risen. But from the business perspective, they burned cash to fight for market share. And then now the battle lines are set and everything's entrenched.

SPEAKER_02: And now you have a company like Uber generating billions of dollars in free cashflow. And it all happened in just a couple of years. And there were people not so long ago who would have told you that they thought Uber could never be profitable. Yeah. And I think that's the power of operating leverage, right? And it's hard to get that operating leverage, but if you can, I mean, wow, you're looking at an incredible investment like Uber has been. So I think the super interesting part about this structure that you just mentioned is that there's only one railroad operator in all three of these countries, Canada, US, and Mexico. And I think that's on its own a tremendous advantage. And even inside of that existing network, there are a couple of assets that are also irreplaceable. So the Laredo Bridge, which we mentioned earlier is one of those. And then the other is the Mexico Concession. And this gives Canadian Pacific, Kansas City exclusive freight rights on its main Mexico corridor all the way through 2047. So I think the advantages that Canadian Pacific, Kansas City has against other railroads are pretty strong, but

SPEAKER_01: As we've kind of touched on a bit today, when it comes to freight, rail is not the only vehicle used to move things from point A to point B. It's sort of like how a podcast or only competition isn't only other podcasts, it's all forms of entertainment for trains. Their competition isn't just other railroad lines, but anything that can move goods and that's also trucks and airplanes. Yeah. And I think that's a competitive battle that this business basically has to fight every single day. I will say though, that air freight is just

SPEAKER_02: so expensive compared to rail that it probably doesn't even actually belong as a competitor. So to ship things overseas, sure, that's not a business that Canadian Pacific, Kansas City is in, but just to give you an idea of how much air freight costs per ton. So it's about 5,000 and that compares to roughly 50 per ton by rail freight. So trucks are really the only other competitor that I think is probably worth worrying about here. So the moat that we just discussed definitely protects Canadian Pacific, Kansas City's existence. But because there are different ways to move freight, it doesn't really protect its pricing power. So on things like shorter routes, then trucks are going to be faster and much more flexible. And then if you look in Canada, you know, there is Canadian National CN, which competes

directly with Canadian Pacific, Kansas City on a lot of bulk traffic that's coming out of the prairies. So, you know, I guess I'd split Canadian Pacific, Kansas City's customers into these two groups. First, you have captive shippers. If you picture a potash mine in Saskatchewan or maybe a grain elevator in Alberta sitting right on top of a Canadian Pacific, Kansas City railroad track with no other railroad nearby. Well, that customer really has no alternative if they're shipping deep into the US. Canadian Pacific, Kansas City would be pretty much the only option that they can use to ship. And the second group would then be customers who do have a degree of choice. And so if they have access to multiple railways or need to move shorter distances, they'd have other railroads or trucks that could haul the freight. And so picture a shipping container that can easily be moved by truck, for example. Exactly. So we can't know for sure what the allocation for their customers would be in each of these two groups, but I think it's clear that there is a large portion of their customer base that is relatively uncontestable. And I know this is an area that you like to spend time on Sean, which is regulation because

SPEAKER_01: If an industry has the ability to operate with zero competition, well, then you can bet that regulators will be sniffing around, making sure that their constituents aren't being taken advantage of at least to some degree. It's a fact that in the U.S. shippers can bring rate cases to a board called the Surface Transportation Board, very exciting name, but they rarely have succeeded in doing that. So 1980 under something called the Stagger's Rail Act. The freight rail network became largely deregulated across the US, but the surface transportation board can still step in to basically help cap rates to help protect captive shippers who are particularly vulnerable. And then in Canada, Western grain revenue is capped, so regulators do have some power there. And then in Mexico, regulators can actually set rates or even grant competitors access to your tracks if they decide there isn't enough competition. The regulator's real job here is to keep captive shippers from being gouged and not to try and break railroad companies and their business models. And the fact that the Stagger's Act has stood for more than 45 years tells you both are reasonably comfortable with this arrangement. And probably where I'd get a little nervous is actually in Mexico, right? Where a regulator can hand a competitor access to your tracks. That seems like a very troublesome lever to resolve disputes.

SPEAKER_02: for shareholders. Yeah, I guess I kind of see it as a double-edged sword. You know, regulators obviously do cap some of the upside on the pricing, but it also keeps the industry somewhat stable. And yet it's another reason why nobody else really tries to get in in the first place. And even with all the regulation in all three countries that came, Pacific Kansas City operates in, class one railroads have pushed through price increases above inflation for most of the last two decades. So, you know, the pricing power is still there, but there's definitely a ceiling in place. So the next advantage that Canadian Pacific Kansas City has is in processing power. Although you can argue this is maybe less of a moat because Hunter Harrison, their former CEO, helped implement this precision scheduled railroading at four of the six class one railroads. But that simple system, which he did implement, has greatly improved Canadian Pacific Kansas City's margins and it stuck around for long after he's left. Canadian Pacific Kansas City still has operating ratios of about 60%, which is among the best in the industry. but I will admit not by the widest of margins. So another few benefits of Canadian Pacific, Kansas City that would support processing power advantages was its increase in their average train speed, which went up about 7% year over year. They also decreased their terminal dwell time by 16% and then marginally improved their locomotive productivity as well as fuel efficiency. Even with those increases, I mean, that average train speed sounds just really slow, right? I mean, 20 miles an hour, that feels like... Back in my days on the basketball court, I could have reached that same speed. I don't know about you, Kyle. Yeah, I think I'd pay pretty good money to see that, Sean. So while the numbers for the speed do seem slow, that's still, you know, a three or four minute mile pace. So I don't think either of us could maintain anywhere close to that speed today. So the average includes a lot of variables as well that you have to take into account. So it includes things like how long the train spend stopped waiting at sidings and slowly creeping through rail yards. So

SPEAKER_01: The figure really is all about consistency. The faster and more reliable your network is, well then the fewer locomotives and rail cars you need to move the same freight and the same weight. The highest efficiency will obviously be best for the business. And there's another advantage that Canadian Pacific, Kansas City, and I think many major railroads have that you touched on a little earlier with your example on

potash and grain elevators. And that is when a customer builds a plant to produce and ship a commodity, whether that's grain, coal, or whatever it is, they are making really decades-long decisions. The business itself will have spent money on things like rail spurs, sometimes even their own rail cars, all while designing their whole logistics process around Canadian Pacific Kansas City's schedule. Basically, the customer has already paid to physically tie its facilities and operations into Canadian Pacific Kansas City's lines and their loading infrastructure. If a grain elevator has that set up in place, it's really unlikely that they're going to try and switch to Canadian national because it would have to spend a lot of time and money and energy moving and setting things up all over again to make its product be able to flow through a different network. On top of those sunk costs, I think there's just a lot to be said for reliability too. Canadian Pacific, Kansas City's efficiency is really a huge advantage that keeps customers around. If, for instance, you're an automaker running just-in-time production and your parts either don't show up or arrive late because the competitor isn't as reliable, then your whole plant won't be running anywhere near peak efficiency. So saving a few percentage points on freight just really isn't worth it. That's right. And when I ran Canadian Pacific, Kansas City through my customer loyalty framework, they scored very, very well, especially on things like sunk costs, high failure costs, and setup costs.

SPEAKER_02: These are other areas of the business that force repeat customers. The place that they score the lowest in is Brand, which probably isn't a surprise by any means. I don't think anyone's, you know, picking a railroad freight service based on a logo. I'm not sure I've ever seen someone walking around with a, you know, Canadian Pacific, Kansas City hoodie. I don't know. I wouldn't be so sure. I bet you've got some train enthusiasts in the prairies of Canada or the Midwest of the U S that might be donning Canadian Pacific, Kansas City hoodies out there. I'm sure they exist. Yeah. I'm sure my son actually would be very glad to wear one of those if he ever finds out that they exist. But speaking of brand, I think the closest thing that came Pacific Kansas city has to some sort of brand is this holiday train. So each year around Christmas, they run a train covered in Christmas lights around their entire network. They also have things like live music and they collect food and money for local food banks. So in 2025, they raised a few

million dollars, collected 175,000 pounds of food and a few hundred different communities.

SPEAKER_01: So with how obsessed my son is with trains, I'm about 70% sure he would rather see this other than meeting Santa. The mode is certainly real, right? You've got the three country network that we talked about, the Laredo Bridge, and then the switching costs that we've also walked through. Those are all things that I would feel pretty comfortable in as an investor as being lasting assets for decades to come. And none of them are going anywhere. What I'd want to see more of is that mode actually, again, showing up in the numbers because an irreplaceable asset with such tied in relationships with its customers is only interesting to me if they can actually use that power to translate into better pricing and better returns on capital over time, especially better than BNSFs.

SPEAKER_02: And that is the part that Canadian Pacific Kansas City still needs to prove on the other side of this big merger that they've done. Yeah. Overall, I think Canadian Pacific Kansas City has one of the largest moats in a business that I've ever seen. It can't be disrupted by technology. And if someone had half a trillion dollars to spend, chances are they'd just go build data centers, not train tracks and rail yards. And even if they had that kind of money, well, getting the know-how, the permits and the land to even approach Canadian Pacific Kansas City's network, just seems very unlikely. Existing railroad operators can't even build out the same network that Canadian Pacific Kansas City now has, which just shows you how difficult it is. So they'd probably be better off just buying one of the other class one railroad companies, even though they still wouldn't get the same geographic range that Canadian Pacific Kansas City currently has. But with all that said, Sean, when you are speaking about a moat, I think it's clear that Canadian Pacific Kansas City has one, but where things get a little more complicated is kind of what you just discussed there, which is, okay, they are doing these things based around a business that has a moat, but is it actually generating a meaningful return to shareholders or is Canadian Pacific, Kansas City, just kind of another BNSF type situation? Well, I've got a feeling this is the part of the episode we're going to bring up returns on invested capital, Kyle. You know me very well, Sean. So let's start with the good news here. So before the Kansas City Southern deal, Canadian

Pacific was a very capital efficient business, at least for a railroad. So from 2016 to 2020, it earned adjusted returns on invested capital of about 14 to 17%. So I think that's a very, very good number and well above its cost of capital. And that basically meant that reinvestment was producing shareholder value. Now, these numbers are great. And while they aren't, you know, software numbers by any means, these are numbers that I personally can still get around. And the fact that they were consistently above 14% is a very obvious signal that this business had some durability. But if we look at how this number unfortunately has changed since the Kansas city Southern deal, that obvious strength has faded quite a bit. So the company's own return on invested capital, which it calls adjusted ROIC, fell about 8% in 2021 and then 7% in 2022. And then for 2025, the number is just 6.9%. So a quick note on the adjusted return on invested capital, it's still a good number that they use internally. However, they do exclude deferred tax liabilities from this figure. So if you add them back in, the return on invested capital is about a percentage point lower. But you know, at the end of the day, whether I use my own numbers or the company's

SPEAKER_01: There's still just a long way from the historical numbers that were once quite impressive. Yeah. I mean, six to 7%, neither of those figures really inspire a ton of confidence in me. And especially when you consider that this company doesn't seem too likely to be disrupted by competitors, you would expect better returns. But we've also looked at this figure for a number of businesses. And with M&A, these large deals can sometimes really obfuscate the real return figures, at least in the short term. And so, for instance, the Kansas City Southern Deal was just absolutely massive at 31 billion. So my assumption would be that these numbers for a deal that size have significantly increased Canadian Pacific, Kansas City's capital denominator. And that requires a significant increase in returns just to maintain the same efficiency levels. And it sort of can take time.

SPEAKER_02: often for those synergies to prove themselves out in the actual income statement results of the combined business. Yeah, I think you really nailed it there. And that can be a pretty big problem for these larger companies doing larger deals where M&A isn't necessarily their forte. They go out, they buy businesses, they get these instant increases in their fixed

assets and in things like working capital. And this just serves, unfortunately, to fatten their invested capital.

SPEAKER_01: But it often takes time for synergies to form. So even when the invested capital number increases, it can take years for the top part of the return on invested capital numbers to catch up. And I think this is probably what has happened to Canadian Pacific, Kansas City. Let's take a quick break and hear from today's sponsors. In investing, we always ask where a company's real edge comes from. With AI, the models keep getting better and cheaper. So the model alone isn't the edge. Context is. Everything your business actually knows. That's what Glean does. It pulls together what's scattered across your company's tools like documents, conversations, and who's working on what. Your employees and AI agents get the full picture and the access controls you already have stay in place. Glean also isn't tied to one AI provider. It works with more than 40 models and picks the best one for each job, weighing performance against cost. You're not overpaying and you're never stuck with yesterday's model. I use Glean and you should too. Glean. The context platform for enterprise AI. Visit glean.com slash TIP to unlock an exclusive offer just for listeners of the Investors Podcast. That's glean.com slash TIP. Glean.com slash TIP. Terms and conditions apply. You know that sinking feeling when a meeting ends, everyone's nodding along, and two days later you realize that nobody wrote down who was doing what. That's why I use Granola. Granola is an AI-powered notepad that makes your meeting notes useful. It captures what happens in your meetings and it turns it into clean, structured notes with decisions and action items pulled out and made easy to find. On days with back-to-back calls, like guest prep and team check-ins, community calls, I used to spend the gaps cleaning up messy notes and trying to remember who owned what. Now I stay in the conversation and weeks later, everything is searchable in one place. Once you try it on a first meeting, it's hard to go without. You can try it totally free. Head to granola.ai slash WSB. That's granola.ai slash WSB to get your time back. Go to granola.ai slash WSB and try it on your next call. Interested in futures trading and looking for a place to get started? With Plus 500 Futures, you can explore some of the world's most active markets, all from one easy to use platform. Trade futures on popular assets like the S&P 500, NASDAQ, oil, gold, Bitcoin, Forex, and more. Whether markets are moving in crypto,

commodities, or indices, there's always something to follow. Plus 500 Futures is designed to make trading straightforward with a platform you can access wherever you are, right from your phone. And you can get started with a minimum deposit of just 10. Not ready to trade with real funds? Try the free unlimited demo account first and explore the platform without putting real money at risk. Backed by nearly 20 years of experience and trust by millions of customers worldwide, Plus 500 gives you the tools to stay connected to the futures markets. Visit us.plus500.com to learn more. Trading in futures involves risk of loss and is not suitable for everyone. Not all applicants will qualify. Plus 500, it's trading with a plus. All right, back to the show. when you take on something as big as a steal, the balance sheet changes overnight, but the income statement, again, as I alluded to, I mean, it takes its sweet time and it's kind of like a business owner who wants to decrease competition. So they buy out their competition who happens to be across the street. And on the day that deal closes, they will own twice as many locations, but they've also already written a very large check. All the cash went out the door at once. even if that's not immediately reflected in their income statement. But all the customers who can synergize with both businesses, they're not going to show up on day one. It will take time to figure out which overlapping expenses can be cut and who to cross promote most effectively to it. In the meantime, you have to be patient while the two businesses basically learn to work together as optimally as possible as a single consolidated unit. So if that's what's happening right now with Canadian Pacific, Kansas City, then the assumption should be that their capital efficiency number, their returns on capital will recover once those synergies show up. And after all the railroad, I don't think got suddenly a worse business to be in just because it got bigger. And as we've discussed, if anything, the growing network should actually improve the business. So how do you see returns on invested capital moving over the next few years?

SPEAKER_02: The deal closed a few years ago, so we can look back at 2022, which was the first year that the numbers were consolidated on the balance sheet. And we can see that they had a pretty large spike in things like equity debt, as well as working capital. But to your question, you know, it's kind of tough to answer because we've had three years of pretty mediocre return on invested capital numbers, but there are some positives. So they have shown some synergies as profits have continued to go up a

little bit. the network is running well and it appears that synergies are starting to hopefully come through. And even though operating margin definitely took a hit after the deal closed, it seems to have actually recovered well and operating margin seems to be trending in the right direction. But when it comes to capital efficiency, you know, the numbers just have barely budged. I think enough time has now passed that if this were a timing issue, we'd probably see the capital efficiency number at least approximate historical levels or get closer to that. But it's just not really moving. So in my view, if this deal worked out perfectly, well then we would see a drop in the return of invested capital number. Then it would steadily rise back up towards these historical numbers. But I think the numbers, you know, so far just don't support this. Now, this can mean a few things. The main issue is probably baked into the price that they ended up paying for the Kansas City Southern acquisition. Because they paid this large premium for Kansas City Southern, it's permanently going to change their invested capital base. So things like goodwill, you know, they just don't wear out and they don't get depreciated.

SPEAKER_01: And even though profits have increased, it's going to take time for the return on invested capital to continue to trend upward. It's not the greatest situation, but there is a light at the end of the tunnel. You mentioned there that goodwill, and for those who are unfamiliar, is basically the premium paid above the fair value of the identifiable net assets that you're acquiring. meaning the fair value of the identifiable assets minus the liabilities you take on. So if you pay 10 billion for an acquisition and these identifiable net assets are worth a billion dollars, then you're going to book 9 billion of goodwill. And the identifiable term matters a lot here. That's why I keep saying it because intangibles, sort of like these customer relationships or in Canadian Pacific Kansas City's case, the Mexican concession that they got on their own line on their balance sheet, those are all valued at fair value. And goodwill is just whatever is left over after all of that. And as you mentioned there, goodwill typically does not get amortized. So it sits on the balance sheet at full value indefinitely. And it does have to be tested though for impairment at least once a year or sooner if something happens that suggests the acquired business is worth less than what's been accounted for in the books. And so if goodwill were written down, It would actually improve Canadian Pacific, Kansas City's capital

efficiency metrics by reducing invested capital, but it would also be an admission that they seriously overpaid for the deal. And I'm sure they would rather not openly admit that kind of thing to the market. Yeah, that's completely true. And I think it's one of those kind of quirks of accounting. If Canadian Pacific, Kansas City were forced to write down a big chunk of goodwill at some point, which I don't see happening, well then, yes, their return invested capital would jump instantly.

SPEAKER_02: But I think the real light at the end of the tunnel is if you look very, very much behind the scenes. So it does appear if you look in some ways that things are improving, but you need to look at an adjacent number to returns on invested capital, which is returns on incremental invested capital to really see this. So the number for that period from 2024 until 2025 has actually crept up to over 12%. So while management's goal is to get return on invested capital back up to the mid teens, it does seem difficult to do, but it's definitely promising that returns are starting to creep back up.

SPEAKER_01: This is a business that is a railroad, and most businesses in that industry are known for paying dividends and also doing buybacks at scale. So in 2025, Canadian Pacific, Kansas City bought back 37 million shares for about 4 billion. And then in the first half of 2026, they bought back another 17 million shares or so. So even though the acquisitions significantly increased their diluted share count, The buybacks have been pretty meaningful too. And since 2022, they've reduced their shares by about a 1% CAGR. I do have an issue with the buybacks though. I think much of the buybacks over the past few years, they seem to have been done at sort of what I would call a rough approximation of exactly at intrinsic value or perhaps above it. And so the mechanics of why this is a bad thing are pretty simple. A buyback is the company buying back a stake in itself on behalf of the shareholders who are staying and continuing to own the business. So if it pays less than what the shares are actually worth, then every dollar spent buys more than a dollar of value for those remaining owners. So that is a good case of buybacks. But if it pays more than the shares are worth, then the value transfers from the holders who stay to the ones who sell at this premium. And the company then would have been better off just paying off a dividend or holding the cash. So unless I'm

wrong on my intrinsic value estimate, then really these buybacks were not the best use of capital. Yeah. I think I'm right there with you, Sean. And I have yet another issue to layer on top of what you just mentioned. So the share of purchases were partially completed using leverage. So if you look purely at operating cashflow, it definitely does cover their dividends and buybacks.

SPEAKER_02: But you have to remember that Canadian Pacific, Kansas City does have reinvestment needs that must be attended to on an annual basis. So part of these buybacks were funded by issuing new bonds and selling a stake in the Panama Canal railway. Now it was a small amount of leverage to be fair, but you know, leverage still increased just to help fund these buybacks. Well, if parts of the buybacks were funded by debt, it's definitely worth peeking into what the balance sheet looks like today.

SPEAKER_01: Canadian Pacific, Kansas City is carrying about 25 billion in debt as of the most recent quarter. And so if we view this through management's preferred debt to EBITDA metric, which I'll add is pretty similar to net debt to EBITDA, it comes out to about 3.2 times and that's up slightly from three times a year earlier. And this is in the same ballpark as most railroad competitors. I don't think there's too much to worry about here. Railroads, after all, are businesses whose assets produce steady cash and that cash should continue to flow to them for decades to come. So lenders are more than happy to lend against them. And if I look at some comps like Union Pacific and CSX, they're running pretty similar leverage profiles. And for really a business like this with cash flows that are about as predictable as you'll find for any business outside of a utility, I'm definitely more comfortable with them having leverage than with a cyclical or even some tech companies to be completely honest. And what I actually care about more than the headline ratio is which direction that leverage is drifting and why is leverage creeping up to fund buybacks rather than growth. That kind of thing makes me uncomfortable as a shareholder. Right. I agree. And I think that management metric is fine by me. I like to also use a similar metric, but I also like to look at how net debt compares to free cashflow. So I also would prefer this number to be very low.

SPEAKER_02: preferably at maybe three times or less trailing free cash flow. So the idea behind this is quite simple. If things go south, I'd like to know that the business could pay off its debt within three years. This gives the business some robustness, which I'm obviously a very big fan of. So Canadian Pacific, Kansas City's net debt to free cash flow is actually 10 times. So they aren't planning on increasing capex. So perhaps that ratio comes down to eight or nine as free cash flow expands over the next year or so. But either way, it's definitely a lot higher than I usually like to see. In fairness, though, kind of to what you just alluded to, railroads definitely do deserve some leeway, I think, when it comes to debt. Canadian Pacific Kansas City's debt is structured very conservatively and most of it's fixed rate debt. And interest is covered more than six times by operating income. So because the cash flows are very secure over long time periods, lenders are definitely going to be willing to offer these kind of long-term maturities. And I'm talking very, very long, like decades long.

SPEAKER_01: So one of their bond matures all the way out in 2115, by which time will probably be long gone. So if any of my great grandchildren are listening to this, go check if their principal was paid back. That is one heck of a payback period there. And if we look at debt, the bigger risk isn't the debt that they carry right now, but really whether or not they will need to refinance at some point in the near future. And if they do, that will likely be at significantly higher rates given the uptick in inflation we've seen. really the bottom falling out of the treasury market in the last few months. And so they were very smart to refinance debt in 2020 and 2021 when interest rates were at really rock bottom. But all of those debts will come due at some point. And one of them actually even comes due at the end of 2026. And again, at today's rates, the interest costs for them going forward just structurally are going to increase significantly until the next round of refinancing comes hopefully at lower rates.

SPEAKER_02: Basically, what we've already seen is in this last quarter, the company's interest expense increased by double digit percentages. Yeah. I think overall, I'm not super concerned about debt when it comes to Kansas City. It kind of reminds me a little bit of American Tower where you have these assets that are just in a very, very strong oligopoly and therefore

lenders will just allow you to both lever up as well as have these very long maturity dates. It's a pretty nice advantage.

SPEAKER_01: If they do see a slowdown in business for a time, then they risk failing to deliver shareholder returns. They'd have to pay back debtors first, which would mean cutting things like dividends or buybacks. And investors into those businesses really do not like to see that. And these can all affect management's decision making to sometimes a large degree. It's really important to take into account just what management is prioritizing. And it's not the same at every company. So how about we try and look at management a little closer here and At the top, you've got Keith Creel, who you mentioned earlier has been the CEO since 2017. And that makes him the longest tenured CEO of any class one railroad. And that's definitely a bit surprising. When you think about how stable these businesses are, you would think that the CEOs would tend to stick around here. And when Canadian Pacific announced the Kansas City Southern Deal back in 2021, the board gave him a special grant of about 517,000 stock options

SPEAKER_02: specifically to keep him retained until at least 2026. And in exchange for that grant, his annual long-term incentive awards were trimmed as basically an offset. Right. And that retention window closed at the beginning of this year. So for the first time since the merger, Creel doesn't have these golden handcuffs that are keeping him inside the business. But it also doesn't seem like he has any plans to leave. I think it's worth mentioning here because if I were a shareholder, I'd at least be thinking about what kind of succession planning there would be. Now, Given how Creel has come into Canadian Pacific, Kansas City and helped integrate the Kansas City Southern merger, I think he's done a pretty fine job, but the value creation for shareholders since this deal has gone through just hasn't been amazing by any means. So since 2023, shares have compounded at about four and a half percent with a 1% dividend yield. I won't pretend like I have any special insights into how hard it is to integrate a railroad. I would assume it's very hard. So perhaps I'm being a little hard on him, but this is just what the numbers tell me.

SPEAKER_01: It's tough to say because before the deal, Canadian Pacific was doing pretty well, but growth and attractive returns on capital have

been harder to come by after the deal. So maybe we're biased, but how about we take a closer look at what Creel is incentivized on these days and how that has changed? Sure. So the good thing about Creel's incentive program is that about 93% of target pay is at risk. So part of his bonus is tied to things like financial and safety measures.

SPEAKER_02: So the financial part is split evenly between operating ratio and operating income. The safety part is split between factors such as train accident frequency and personal injury frequency. In 2025, the operating ratio landed right on target, but operating income was actually below the target. So, you know, these are decent figures since they do reflect operating margins and operating income, but I think it's missing something that Canadian Pacific was actually really well known for before, which was incentivizing based on returns on invested capital.

SPEAKER_01: So they have said that they want to get back to that at some point, but they'll return to this KPI at the appropriate time. I'm not really sure what that means though, or how to perceive it. Well, given how returns on invested capital have dropped so far since the acquisition, I think that it did make some sense to temporarily get rid of that measure simply because the only way to be able to fairly keep it would be to drastically cut their target and expectations. Doing that doesn't really send the right message to shareholders longer term. Why accept mediocrity in a company that had allocated capital quite well for such a long period of time? And right now, the other performance measures are based on things like free cash flow and then comparing the share price to a benchmark of businesses in similar industries. And free cash flow is what replaced ROIC. So it's not a bad metric at all, but it's always a yellow flag when the compensation framework shifts.

SPEAKER_02: the fact that the chair of the compensation committee has brought it up in proxy is quite a powerful signal that shareholders want this return on invested capital KPI to come back. Yeah, I think the swap really does matter. Yes, free cash flow is a decent number and that at least takes into account things like capital expenditure, but it's more of an absolute number. So if Canadian Pacific, Kansas City grows, it will get more cash flow. But the mere fact that they bought Kansas City Southern means that

free cash flow should also grow simply because they added another cash flowing business to themselves. So returns on invested capital captures both the increase in cash flow, but also a bunch of other, I think, very, very big adjustments that do matter. And that's things such as what type of investment was needed to get that larger amount of cash flow into the future. And so if you look just purely at free cash flow, it just doesn't have quite the same function. And we can't forget ownership stakes either here. Creel's total stake is worth about 27 million, but

SPEAKER_01: That includes options and when we consider what he actually owns today, it comes out to about 0.01% of Canadian Pacific, Kansas City's total share count. It's not terribly surprising because unless you're an original founder of a company, it's hard to have a massive equity stake built up, especially for a company that's nearly 200 years old. Total insider ownership though, I think is still a bit disappointing at just 0.1%.

SPEAKER_02: The rest of the management team has some alignment, and I'm sure it's a good chunk of their net worth, but at least in theory, you would like to see that number probably being higher. Yeah, me too, Sean. And I wasn't able to find any meaningful insider buying as well. So most of their exposure to increased ownership is mainly through things like options. So if you compare that to some of the other businesses that we've looked at, like Heiko, for instance, the family's entire wealth is tied to the success of the company. Unfortunately, you just don't see that same type of alignment with Canadian Pacific, Kansas City, but like Sean just mentioned, it's a 200 year old business. It's very hard to get that kind of alignment. So, you know, my overall take on management is that they are good at what they do and I give them kudos for having very, very good communication and transparency. But you know, I'd really love to see the incentive system tip back to being more capital efficiency focused. I think that this would get this incentive structure back to being an A, whereas today I'd give it more of maybe a B grade.

SPEAKER_01: So I'm hoping to see that they get back to that at some point, which would make me much more excited about management incentive structure. I'd also love to see some maybe open market buys as well to know that if I'm buying that management also has conviction in that

decision. So what do you think could knock this thesis off the tracks, pun intended? We told you there would be some train puns today. The business is clearly strong, but what could go wrong? It's a business that we agree is hard to disrupt, but there is competition out there and it's clear that these businesses are all trying to take market share from each other. And one risk maybe that I could think of that would leave them more vulnerable is the potential for another merger in the industry that would make one of their competitors more of a heavyweight, which would be Union Pacific and their at least announced plans to merge with Norfolk Southern. Yeah. I think this is definitely a potential risk for Canadian Pacific, Kansas City's interest, especially in regards to the United States. So Union Pacific is one of those two giant Western railroads.

SPEAKER_02: and Norfolk Southern is one of the two biggest railroads in the East. So putting them together gets you this gigantic coast to coast railroad in the U.S. But as with the Canadian Pacific and Kansas City Southern deal, there is a very lengthy regulatory period. So this deal won't have a decision by regulators until sometime in 2027. It's a little complicated to understand all the little nuances that go on in a deal like this, but Canadian Pacific Kansas City has called for regulators to reject the deal, which you probably wouldn't be surprised about. So it comes down to a few different partnerships that these railroads tend to have with each other. For instance, in a merger, Canadian Pacific, Kansas City's transcontinental positioning, which I've discussed as being one of their largest competitive advantages, would actually be at risk. So I don't think the merger would necessarily kill the thesis for the business by any means. Canadian Pacific, Kansas City would still have a lot of business, but it probably would put a dent in the growth story. And the other big risk here, that's sort of an elephant in the room.

SPEAKER_01: be hard for us not to talk about is on the trade front. On July 1st, the US-Mexico-Canada agreement had its first review. Canada and Mexico like the deal that's already in place and want to extend it, but the US chose to decline that option. It's not all bad as the deal is fortunately in place until 2036, fortunately from the perspective of shareholders here. but it will be reviewed on an annual basis. And that does mean the US is going to have some political leverage over the deal. And if the relationships

between nations fray any further, they can dangle the agreement to try and get favorable concessions. And I think that matters because Canadian Pacific, Kansas City's fastest growing business segment is in things like automotive, energy, and commodities. that are very much exposed to trade policy and rely a lot on going across borders. And if terrorists between any of these countries are to go up dramatically and nearshoring slows down, then Canadian Pacific Kansas City is going to be a real victim of that and feel the pain of it. Yeah, I think this is true, but there actually are a couple of advantages that Canadian Pacific Kansas City has that offered a little bit, not full, but a little bit of protection that we should probably touch on here.

SPEAKER_02: So the U.S. exempts the United States, Mexico, Canadian agreement, compliant goods. So this makes it, from my understanding, possible to move a lot of these goods across the U.S. without incurring these massive tariffs. If, for instance, Canada wanted to move freight directly from Mexico or vice versa, well, then that helps mitigate some of these risks. And the fact that volumes are continuing to rise shows that they are still shipping more and more products through the U.S. But I'd be lying if I said there wasn't a significant amount of uncertainty in this exact area. The last risk that I'll mention here is in their debt. So I think we covered that enough earlier, but it's still a risk worth mentioning. I'd want to make sure that their leverage ratios aren't moving up too high. And I definitely would be paying attention to how easily they can service their debt expense here into the future. We've been pretty tough on Canadian Pacific, Kansas City today. So let's look at some of the bright sides of the business because yes, it does have some. When you consider Canadian Pacific, Kansas City, what are the main catalysts that you think can help make this business continue to grow? Yeah. So if you look at their latest presentation, they guide for low double digit adjusted diluted EPS growth. So, you know, they clearly think there are growth levers in this business that can help them get there. Many of North America's railroads have had pretty flat volumes for about two decades. The merger helped Canadian Pacific, Kansas City's volumes increased by a decent amount. So Since the merger, if you exclude coal, their volumes are up 22% as seen by revenue track miles. That's pretty rare growth in the industry. One other big growth engine is converting truck freight into rail freight. So much of the freight between, let's say Mexico and the U S is actually truck freight. So in 2025 trucks carry about 74% of

Mexico's trans border trade. Interestingly, the all time record year was back in 2024, but 2025 dips slightly. Now I'm not sure that I can say that that's purely because Canadian Pacific, Kansas city is now there, but it's certainly making the decision easier to help ship freight using rail car versus a truck. So they currently aim to divert about 64,000 truck loads away from the highway annually. And they are at about 40% of that target today. So, you know, this is a pretty good lever because it removes competition from the railroad industry entirely. So on this advantage, they are looking to take market share from the trucking industry, which is

SPEAKER_01: much, much more fragmented compared to railroads. And I know that I personally would prefer to steal market share from a fragmented industry than a consolidated one. I think that's exactly right. Because when you take share from a fragmented industry, nobody on the other side is big enough to fight back in a coordinated way. Whereas taking share from another class one railroad means picking a price war with a competitor that has the same cost structure and the same patience that you do. And trucking is thousands of small operators who can't match rail's fuel economics on a long haul, no matter what they do. So that is sure that Canadian Pacific, Kansas City can win on structural advantage rather than just by cutting price. And the merger has also opened up some other opportunities. For instance, automotive just grew 19% last quarter, and that lines up with Mexico increasingly becoming a major car manufacturing hub. And then now you have grain moving from Canada into Mexico. of route that really only became economical once the merger removed some of the handcuffs standing in the way. And coal is a net negative, although it's worth noting that Canadian Pacific, Kansas City's coal is mostly metallurgical coal out of British Columbia's Elk Valley that goes into steelmaking in Asia. So the real risk there is steel demand more than decarbonization. And it's really unlikely for that to go to zero anytime soon. Right. And I think coal is also just basically a pretty small part of the revenue now. So it makes up just about 6% of revenue. While a decade ago, that number was close to 10%. So I'm not super concerned about how the downfall of coal is going to affect Canadian Pacific, Kansas City long-term. And on top of the volume growth, there's also the potential to improve operating leverage. Since management has guided for higher earnings per share growth than revenue, that mostly has to come from buybacks and

operating leverage. the additional operating leverage can come from moving more freight per train. And things that affect this are average train speeds and average train lengths, average train weight and fuel efficiency as well. And they've improved on really all of these metrics this year. The one place you don't want those gains to come from is at the expense of safety metrics like personal injuries and train accidents. Yeah. These are all metrics that I think shareholders definitely have to continue to pay attention to.

SPEAKER_02: If those metrics can continue to be improved, well, then there's a nice little tailwind you get simply from just moving more volume with less incremental cost, but they definitely have to improve efficiency on a very consistent basis to get those benefits into the future. Well, I think it's that time of the episode to look at just what you think Canadian Pacific, Kansas City is worth. Let's do it. So before I go into the intrinsic value, let me give you kind of my high level view of Canadian Pacific, Kansas City. So In my view, it's a very interesting business. It has lots of moats that seem to be very difficult to disrupt, and it has very minimal technological disruption. So normally I'd be very excited about a business that has this set up, but I also think there's a lot of variables involved with understanding this business. You need to know the railroad industry well, and you need to know how each player are interacting and why they're having these specific advantages and disadvantages compared to one another. And unless I'm very passionate about railroads, this seems like an industry that I'm just not so sure that I want to spend too much time on. I know my son would be disappointed to hear this, but given how mature the industry is, I'm just not sure it's an industry I feel like I could probably put too much time into understanding simply because my preferred return benchmark is likely a lot higher than the returns that I'm going to get from owning an admittedly great business. I think that's fair enough. So let's get into some of those assumptions that you're making to figure out if Canadian Pacific. Kansas City would make for a decent investment because even if you don't like the growth, if it's cheap enough, it could still make for a decent investment. Yeah, let's do it. So in my base case for revenue growth, I assume about a 6% growth rate over the next five years. Now this is on the low end of management's revenue targets in the high single digits, but I'm shipping out things like a short-term fuel and harvest boost that they've had and leaving

room for things like merger and trade risks. So I think they're doing a pretty good job on margins. And as we just discussed, there is probably some room for further improvement. So I'm using EBITDA margins of about 53%, which is about a point and a half above the current margin. So I don't think this is too much of a leap of faith. I think the EV to EBITDA multiple probably goes down slightly and reaches maybe 14 times in the terminal year. The average multiple was significantly elevated compared to a few of the post-COVID years. So I think 14 times is a pretty solid number for a base case at a very high quality business like this. So with those assumptions, I get a value of about 165, which offers a return of about 7%, including dividends. I'm looking at your bull and bear case model right now. So let's put it all together and see what your intrinsic value is. Yeah. So with a bull case, I assume, you know, Mexico takes off, the Union Pacific and Norfolk Southern merger gets blocked or heavily conditioned. And then I also assume that management's guided growth comes to fruition. In the bear case, the merger goes through with minimal conditions and trade with Mexico slows. With all that, I get a value of 111, which is still below the current share price of about 122 today. So with the company's share price being right around intrinsic value, I'm perfectly fine taking a pass on this business. It's not a business that has particularly exciting growth potential. You know, some businesses have a lot of variance and the potential upside can greatly improve the intrinsic value of the company. you know, something like Applovin, for instance, has a lot of that growth potential if everything tends to work out. But, you know, when it comes to Canadian Pacific, Kansas City, I just find waiting on the sidelines here, perhaps if shares were to get somewhere in the low 90s or below, I could maybe see this getting a little more interesting, but I'm not really in any rush to have this in the intrinsic value portfolio. I'm there with you on passing. And I think the way to frame it is that Canadian Pacific, Kansas City is a great business that is also already priced like one, which is

SPEAKER_01: a common theme on this show. And so the moat that we spent a lot of the episode admiring is pretty much fully reflected, if not more so, in the stock. And we haven't seen enough evidence of the growth story really coming to fruition yet to be more bullish than the market currently has priced the company. And if you have a base case of roughly 7% a year, it just doesn't move the needle for the portfolio that we're trying

to build and manage. we already have indirect railroad exposure through Berkshire Hathaway and their ownership of BNSF. And then we have our 12% hurdle rate that your kind of projections here would fall short of clearing. And so I would be much more excited, for example, to put more capital into a company that we're really excited about like Uber instead. And so I do think that at the right price, it would be a very interesting asset to have to diversify our portfolio and hedge some of the uncertainty of AI where we don't know how severely our digitally based businesses will be impacted. Whereas the railroads, we can sleep pretty well at night knowing that there are no fundamental disruptions to that business model looming. Well, that's all we have for you today, folks. And as usual, I'd like to leave you with a quote. So one of my favorite writers ever, Ralph Waldo Emerson wrote, railroad's iron is a magician's rod in its power to evoke the sleeping energies of land and water. And he was correct.

SPEAKER_02: on this, even though it was written a very long time ago. But you know, railroads truly offer incredible economic benefits to people who ship freight, which really underpins the economies of the US, Canada, and Mexico. So I do see his magician's metaphor. And as long as we continue to require goods to be shipped, well, railroads aren't going anywhere. That's all we have for you today. And thanks so much for listening. Thanks for listening to TIP. Follow the Investors Podcast on your favorite podcast app.

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